

The Three Schemes - EPF, EPS 1995 and EDLI 1976

Chapter F3.3 — From Zero: What Each One Insures Against, and Every Rule You Will Be Asked to Apply

Module	Foundation Layer — Module 3 — Social Security and EPFO
Chapter	Chapter F3.3
Topic	Official syllabus head 4 — Social Security in India
Version	v1.0
Compiled	10 August 2026
Exam stage	Recruitment Test (RT)

NOTE · HOW TO USE THIS DOCUMENT

The Act of 1952 conferred the power; this chapter contains the benefits. It takes the three schemes framed under it in turn. The EPF Scheme as a defined-contribution accumulation - how interest is credited, nomination, the Universal Account Number and portability, full withdrawal, and the partial withdrawals or advances for housing, illness, marriage, education and calamity that make up most of an office's daily work. The Employees' Pension Scheme 1995 as a defined-benefit promise - the ten-year vesting rule, the formula with its divisor of seventy, the two-year bonus, superannuation at fifty-eight against early pension from fifty with its reduction, and the family pension structure of widow, children and orphan pensions. The EDLI Scheme 1976 as pure survivors' insurance funded entirely by the employer at half of one per cent. It closes on the higher-pension question, stated as litigation in progress rather than settled law, and on the reported 2026 changes printed against the historic position. Study time 3 hours.

This is the FOUNDATION layer. Contribution rates, the wage ceiling, the pension formula and the vesting period are settled. Several scheme parameters - notably the EDLI maximum and minimum assurance and the precise reduction factor for early pension - are amended by notification from time to time and are marked CONFIRM rather than asserted. The 2026 changes are REPORTED, not Gazette-verified, and both positions are printed.

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0. Three Schemes, One Act

A member does not have "a provident fund". He has an accumulation, a pension promise and a life assurance, funded from one deduction and governed by three different sets of rules.

WHY THIS EXISTS · WHY ONE ACT NEEDED THREE SCHEMES

Recall the nine contingencies from F3.1. The EPF & MP Act answers **three** of them, and it needs a different instrument for each because **the three risks have different shapes**.

- 1 OLD AGE is certain and gradual.** You know it is coming and roughly when. The right instrument is **accumulation** - save steadily, take the balance. That is the **EPF Scheme**, and it is **defined contribution**
- 2 OUTLIVING YOUR SAVINGS is a risk of unknown duration.** A lump sum is no protection against living to ninety, because nobody can budget a finite sum against an unknown lifespan. The right instrument is a **pension for life**, which requires **pooling longevity risk**. That is **EPS 1995**, and it is **defined benefit**
- 3 DEATH IN SERVICE is sudden, rare and catastrophic.** It needs neither accumulation nor a pension but **insurance** - a large sum on a small premium, precisely because most members will not claim. That is **EDLI 1976**

So the three schemes are not three ways of doing the same thing. They are three different financial instruments for three different risk shapes - and that is why one is DC, one is DB, and one is term insurance.

The single sentence to carry: a member's total protection is **his own balance, plus a promise for life, plus a payout if he dies before either matures**.

MUST MASTER · THE FUNDING MAP - WHERE EACH RUPEE GOES

Scheme	Year	Funded by	Rate on the contribution base
EPF Scheme	1952	Employee and employer	Employee 12% (all of it) plus the employer's 3.67%
EPS	1995	Employer and Central Government	Employer's 8.33% plus the Government's 1.16%
EDLI	1976	Employer alone	0.50%

Plus **administrative charges of 0.50%**, borne by the employer. Ceiling **Rs 15,000**.

Three deductions from this table that answer questions directly:

- 1 The employee contributes to only ONE of the three schemes.** His 12 per cent goes entirely to the provident fund. **He pays nothing towards his own pension and nothing towards his own life cover**
- 2 EDLI is the only one of the three funded by a single party.** It is **employer-only** - which makes it, in the F3.1 taxonomy, insurance financed on the **Bismarck 1884 accident model** rather than the 1883 sickness model
- 3 The Central Government contributes to only ONE of the three** - the pension, at **1.16%**. It puts nothing into the provident fund or EDLI

And note what the table implies about the pension's finances. EPS is a **defined-benefit** promise funded by **8.33 + 1.16 = 9.49 per cent** of a wage capped at Rs 15,000. Whether that is enough to fund the formula is an **actuarial** question, not a legal one - and it is the reason the higher-pension dispute in Session 5 exists at all.

STUDY SESSION · CHAPTER F3.3 - THE FIVE SESSIONS

- 1 **Session 1** - The **EPF Scheme**: interest, nomination, the UAN, and withdrawal (Section 1)
 - 2 **Session 2 - Advances**: the partial withdrawals that are most of the daily work (Section 2)
 - 3 **Session 3 - EPS 1995**: vesting, the formula, and the kinds of pension (Section 3)
 - 4 **Session 4 - The family pension** structure, and **EDLI 1976** (Section 4)
 - 5 **Session 5** - The **higher-pension question** and the reported 2026 position (Section 5)
- Then **44 graded questions**. Budget **five sessions**, about **two days**.

1. Session 1 - The EPF Scheme ★★★★★

1.1 The account, and how it grows

START FROM ZERO · WHAT A PROVIDENT FUND ACCOUNT ACTUALLY IS

A member's provident fund account is a **running balance in his own name**, credited every month with **his 12 per cent** and **his employer's 3.67 per cent**, and credited once a year with **interest**.

Two features distinguish it from a bank deposit, and both matter:

- 1 **He cannot make it stop.** Contribution is compulsory while he is a member. Compare a recurring deposit, which he may close
- 2 **He cannot pledge it, and nobody can attach it - Section 10**, from F3.2. Compare a fixed deposit, which is standard loan security

How interest works, and it is regularly misunderstood. The rate is **declared annually** by the Central Government on the recommendation of the **Central Board of Trustees - 8.25 per cent for FY 2025-26**, the third consecutive year at that rate. It is:

- 1 **Declared, not guaranteed in advance.** There is no promised rate, because the scheme is **defined contribution**
- 2 **Credited on the monthly running balance**, so a withdrawal mid-year reduces the interest earned for the remainder
- 3 **Compounded annually**

The consequence to state if asked why a provident fund is a good instrument for a low-income saver: it delivers a **long-dated, compounding, tax-favoured return that the saver cannot interrupt, cannot pledge and cannot lose to a creditor**. Very little else in the Indian financial system does all five of those things at once.

MUST MASTER · NOMINATION, THE UAN, AND PORTABILITY

NOMINATION - Paragraph 61 of the Scheme.

- 1 A member must nominate a person to receive the amount on his death
- 2 A member **having a family may nominate only a member of his family**. A nomination in favour of anybody else is **invalid**
- 3 A member having **no family** may nominate any person, but that nomination becomes **invalid on his acquiring a family**
- 4 Nomination may be **modified** at any time

The point of the family restriction is worth stating, because it is the reasoning behind a rule that otherwise looks paternalistic: the fund exists to protect **dependants**. Allowing a member with a wife and children to direct the money elsewhere would defeat the statutory purpose, so the Scheme removes the choice while a family exists and restores it when none does.

THE UNIVERSAL ACCOUNT NUMBER (UAN). A permanent number allotted to the member, under which all his **member IDs with successive employers** are linked.

- 1 It makes the accumulation **PORTABLE** - on changing jobs the member carries the UAN and the balance transfers, instead of settling the account and starting again
- 2 It is the mechanism that makes a **ten-year vesting period** achievable in a mobile labour market. Without portability, a member changing employer every four years could never qualify for a pension
- 3 **Do not confuse it with the e-Shram UAN** for unorganised workers, which is a different register using the same term - a point already flagged in F2.10

So portability is not a convenience feature. It is what makes the pension promise reachable, and that is the connection to draw between an administrative reform and a statutory entitlement.

1.2 Full withdrawal

MUST MASTER · WHEN THE WHOLE BALANCE MAY BE TAKEN

The accumulation becomes payable in full on:

- 1 **Retirement on or after attaining the age of 58** - superannuation under s.2(II)
- 2 **Retirement on account of permanent and total incapacity** for work
- 3 **Migration abroad** for permanent settlement, or taking employment abroad
- 4 **Termination of service on a scheme of voluntary retirement**
- 5 **Death** - in which case it is paid to the nominee or family
- 6 **Unemployment**, on the conditions in the next box

Note that reaching 58 does NOT compel withdrawal. A member may leave the balance to earn interest. What 58 does is make it **payable**, and end the compulsory contribution relationship on retirement.

IMPORTANT · FULL WITHDRAWAL ON UNEMPLOYMENT - HISTORIC AND REPORTED POSITIONS

This rule has changed, and both versions must be known because a 2026 paper may test either.

Element	HISTORIC position	REPORTED 2026 position
Waiting period	2 months of continuous unemployment	12 months
Minimum balance	None - the whole amount could be taken	25% of the balance must be retained

Both changes push in the same direction, and the policy reasoning is the point of the box.

A provident fund exists to answer **myopia**, the second market failure from F3.1. Permitting a full cash-out after two months' unemployment converts a retirement fund into a short-term buffer - which is humane in the moment and destroys the accumulation, because a member who empties the account at thirty-five restarts from zero and loses the compounding that was the whole benefit.

Lengthening the wait to twelve months and retaining a quarter of the balance is an attempt to keep the fund available for genuine long unemployment while preventing casual depletion. The honest counter-argument, which you should also be able to state: a worker who loses his job needs money **immediately**, not in twelve months, and a rule this strict may simply push him to a moneylender. **That tension - liquidity now against security later - is the central design problem of every provident fund in the world.**

CHECK YOURSELF · SESSION 1

- 1 Why does one Act need three schemes? Match each risk shape to its instrument
- 2 Reproduce the funding map. Which scheme does the employee fund? Which does the Government?
- 3 How is the interest rate fixed, on what balance, and why is it declared rather than guaranteed?
- 4 State the nomination rule for a member with a family, and the reason for it
- 5 What does the UAN do, and why is it necessary for the pension to be reachable?
- 6 List the grounds for full withdrawal. Does reaching 58 compel withdrawal?
- 7 Give both positions on withdrawal during unemployment, and argue the policy both ways

2. Session 2 - Advances: The Daily Work ★★★★★

Full withdrawals are occasional. Advances are constant, and an office is judged on how it handles them.

IN PLAIN ENGLISH · AN ADVANCE IS NOT A LOAN

A **partial withdrawal**, called an **advance**, lets a member take part of his own accumulation for a specified purpose while remaining in service.

It is not a loan. There is **no interest charged** and **no repayment**, because the money is his. What the Scheme controls is **when** he may take it and **how much**, and it does so by attaching to each purpose:

- 1 a **qualifying period of membership**
- 2 a **ceiling**, expressed as a number of months' wages or a share of the balance
- 3 a **frequency** limit in some cases

Why the conditions exist: every rupee withdrawn early loses its compounding, so an unrestricted right to withdraw would defeat the scheme. The Scheme's compromise is to permit withdrawal for the small number of purposes for which a household would otherwise borrow at ruinous rates - **housing, serious illness, marriage, education and natural calamity.**

MUST MASTER · THE ADVANCES A MEMBER MAY CLAIM

Para	Purpose	Qualifying service	Broad limit
68B	Housing - purchase or construction of a house or flat, or a site; also addition, alteration or improvement	5 years of membership	Graded by purpose, computed on a multiple of monthly wages together with the member's own share and interest. The largest advance the Scheme allows
68H	Lockout or closure of the establishment for more than 15 days , or non-receipt of wages for more than 2 months	None specified	Limited, and related to the wages unpaid
68J	Illness - hospitalisation, major surgical operation, or specified serious illness, of the member or a family member	No minimum service	6 months' basic wages and DA , or the member's own share with interest, whichever is less
68K	Marriage of the member, or of a son, daughter, brother or sister; and post-matriculation education of a son or daughter	7 years	50% of the member's own share of contributions with interest
68L	Natural calamity - flood, earthquake, riot	None specified	Limited, and subject to a declaration by the State Government
68NN	Withdrawal before retirement	On attaining 54 years , or within one year of actual retirement, whichever is later	90% of the total accumulation

The three most examinable rows, and the reason each number is what it is:

- 1 **68J illness requires NO minimum service.** Every other significant advance has a qualifying period. Illness does not, because a medical emergency does not wait for a member to complete five years - **the exception proves the Scheme is organised around need, not merely around length of service**
- 2 **68K marriage and education needs 7 years** and is capped at **50% of the member's OWN share**. Note carefully: **his own share, not the total balance**. The employer's 3.67 per cent is excluded from the computation
- 3 **68NN allows 90% shortly before retirement** - the provision that lets a member arrange his affairs before he actually retires

A frequently tested contrast: 68J is 6 months' wages OR the member's own share, WHICHEVER IS LESS; 68K is 50% of the member's own share. Both are anchored to the member's own contributions, and neither gives access to the whole fund.

Precise sub-limits and the permitted number of times each advance may be taken are amended by notification and are marked CONFIRM. What is reliably examinable is the **purpose, the qualifying period and the base on which the limit is computed** - which is exactly what the table gives.

CHECK YOURSELF · SESSION 2

- 1 Why is an advance not a loan? What does the Scheme control instead?
- 2 Give the paragraph, purpose, qualifying period and base for housing, illness, marriage and pre-retirement withdrawal
- 3 Which advance needs no minimum service, and what does that tell you about the Scheme's priorities?
- 4 For marriage and education, 50 per cent of what exactly?
- 5 At what age does the 90 per cent pre-retirement withdrawal become available?

3. Session 3 - The Employees' Pension Scheme, 1995 ★★★★★

The only defined-benefit promise EPFO makes, and therefore the only part of the system that can run a deficit.

MUST MASTER · EPS 1995 - THE FRAMEWORK

Framed under s.6A of the Act in 1995, superseding the Family Pension Scheme 1971. It is **defined benefit** - the output is fixed by formula.

Funding. The employer's **8.33%** diverted from his 12 per cent, plus the Central Government's **1.16%**, on wages up to the ceiling of **Rs 15,000**. **The employee contributes nothing.**

MEMBERSHIP is automatic for a person who becomes a member of the provident fund - a member does not elect into the pension.

ELIGIBLE SERVICE FOR A PENSION: 10 YEARS.

- 1 On completing **10 years' eligible service**, the member acquires a right to a pension from **58**
- 2 With **less than 10 years**, he is entitled instead to a **WITHDRAWAL BENEFIT** - a lump sum on a table prescribed by the Scheme, **not** a pension
- 3 Alternatively, on leaving before 10 years he may obtain a **SCHEME CERTIFICATE**, which preserves his past service so that it can be **added to future service** with another covered employer. **The scheme certificate is the device that keeps the ten-year rule from punishing job mobility**, and it pairs with the UAN from Session 1

SUPERANNUATION AGE 58. A member may also take:

- 1 an **EARLY PENSION** from **50**, provided he has 10 years' eligible service and has left employment - **at a reduced rate**, the reduction being applied for each year by which he falls short of 58. **The commonly cited factor is 4 per cent per year, and it is marked CONFIRM** because it has been amended
- 2 a **DEFERRED PENSION** by postponing beyond 58, at an enhanced rate

MINIMUM PENSION Rs 1,000 per month, introduced with effect from **1 September 2014**.

And note the two-year bonus once more, because it is the arithmetic trap of the whole module: where pensionable service is 20 years or more, 2 years are ADDED to pensionable service before the formula is applied.

MUST MASTER · THE FORMULA, AND THE THREE QUANTITIES IN IT

Monthly pension = (Pensionable Salary × Pensionable Service) ÷ 70

- 1 **PENSIONABLE SALARY** - the **average monthly wage over the 60 months** preceding the date of exit, subject to the ceiling of **Rs 15,000**. The averaging period was **12 months** before the 2014 amendment and became **60 months**; that change matters, because a longer averaging window **lowers** the pensionable salary of anybody whose wages rose towards the end of service
- 2 **PENSIONABLE SERVICE** - the service reckoned under the Scheme, **plus the 2-year bonus at 20 years or more**
- 3 **70** - a fixed divisor. Not derived from anything

Two anchors that let you check any answer instantly:

- 1 **35 ÷ 70 = one half**. At 35 years' pensionable service the pension is **half the pensionable salary**
- 2 At the ceiling, that is **Rs 15,000 ÷ 2 = Rs 7,500**, which is the **maximum ordinary EPS pension** on a full career at the cap

WORKED EXAMPLE · THREE MEMBERS, ONE FORMULA

Member A. Pensionable salary Rs 15,000, pensionable service **35 years**. $(15,000 \times 35) \div 70 = 5,25,000 \div 70 = \text{Rs } 7,500$

Member B. Pensionable salary Rs 15,000, **actual service 24 years**. Service is **20 or more, so add 2**: $24 + 2 = 26$. $(15,000 \times 26) \div 70 = 3,90,000 \div 70 = \text{Rs } 5,571$ (to the nearest rupee)

Member C. Pensionable salary Rs 15,000, **actual service 12 years**. Service is **below 20, so NO bonus**. $(15,000 \times 12) \div 70 = 1,80,000 \div 70 = \text{Rs } 2,571$

Member D, to test the vesting rule. Pensionable salary Rs 15,000, **actual service 8 years**. **He gets no pension at all**. Eligible service is below **10 years**, so he takes a **withdrawal benefit** or a **scheme certificate**. **Applying the formula here is the error the question is looking for** - it would give Rs 1,714 and there is no such entitlement.

The order of operations, which is the whole discipline: check the 10-year gate FIRST, then apply the 2-year bonus, then divide by 70. Candidates who compute before checking eligibility lose the mark on Member D every time.

CHECK YOURSELF · SESSION 3

- 1 Which section framed EPS, in what year, and what did it supersede?
- 2 Who funds it, at what rates? What does the employee pay?
- 3 State the eligible service for a pension, and the two alternatives below it
- 4 What does a scheme certificate do, and which Session 1 device does it pair with?
- 5 Give the superannuation age, the early-pension age and the minimum pension with its date
- 6 Define pensionable salary. What changed in 2014, and whom does it disadvantage?
- 7 Compute the pension for Rs 15,000 with 24 years' actual service, then with 12, then with 8
- 8 State the correct order of operations

4. Session 4 - The Family Pension, and EDLI 1976



The pension does not end with the member. Two of the nine contingencies - invalidity and survivors' - are answered here.

MUST MASTER · THE KINDS OF PENSION UNDER EPS 1995

Pension	Who receives it	The essentials
Superannuation	The member	On attaining 58 with 10 years' eligible service
Early	The member	From 50 , on 10 years' service, having left employment - at a reduced rate
Disablement	The member	On becoming permanently and totally unfit for the work he was doing. Payable IRRESPECTIVE of the 10-year condition - the single most examinable exception in the Scheme
Widow or widower's	The spouse	Payable for life , or until remarriage. Minimum Rs 1,000 a month
Children's	Up to 2 children at a time	25% of the widow's pension each, payable in addition to it, up to the age of 25
Orphan's	Up to 2 orphans at a time	Where no widow or widower is entitled - 75% of the widow's pension each
Nominee's	The nominee	Where the member leaves no family

Three points that carry most of the marks:

- 1 The disablement pension does not require 10 years.** Everything else does. The reason is that disablement can strike in year two, and a vesting rule designed for old age would leave the member with nothing precisely when he can never work again. **This is invalidity, contingency 8 from F3.1, being answered inside a pension scheme**
- 2 Children's 25 per cent, orphan's 75 per cent.** The orphan rate is higher because there is no widow's pension running alongside it. **Learn them as a pair and the logic fixes them: 25 supplements, 75 substitutes**
- 3 Children's pension is IN ADDITION to the widow's, not out of it.** A widow with two children receives her pension plus 25 per cent twice

Commutation of pension and the return-of-capital options were discontinued for members retiring after the dates specified in the amending notifications; treat the precise cut-off as CONFIRM.

MUST MASTER · EDLI 1976 - PURE INSURANCE, EMPLOYER-FUNDED

The **Employees' Deposit Linked Insurance Scheme**, framed under **s.6C** in **1976**, pays a **lump sum assurance on the death of a member while in service**.

- 1 **Funded by the employer alone at 0.50%** of the contribution base. **Neither the employee nor the Central Government contributes**
- 2 It is **term insurance**, not saving. A member who lives to retirement gets **nothing** from EDLI, and that is the design - the premium of the many pays the assurance of the few
- 3 It answers **contingency 9, survivors'**, alongside the EPS widow's pension
- 4 **An establishment may be exempted from EDLI under s.17** where it provides its employees with benefits **not less favourable**, in practice a group insurance policy at least equal to the EDLI assurance

How the assurance is computed. The benefit is calculated on the member's **average monthly wages of the preceding 12 months**, by a **multiple prescribed by the Scheme**, together with a **bonus** element related to the average provident fund balance, and is subject to a **maximum and a minimum**.

The commonly cited figures are a **multiple of 35 times average monthly wages**, a **bonus of 50 per cent of the average balance subject to its own cap**, a **MAXIMUM assurance of Rs 7,00,000** and a **MINIMUM of Rs 2,50,000**. These are **REPORTED** and **revised by notification from time to time**, and are marked **CONFIRM** rather than **asserted**. What is safe, verified and much more likely to be asked is:

- 1 **EDLI is funded at 0.50%**
- 2 **by the employer alone**
- 3 **it pays only on death in service**
- 4 **and it is subject to a maximum and a minimum assurance**

If a question asks for the EDLI contribution rate, answer **0.50 per cent with confidence**. If it asks for the maximum assurance, prefer **Rs 7 lakh** but recognise you are on reported ground.

COMMON UPSC TRAP · DISTINGUISHING THE THREE DEATH BENEFITS

On a member's death in service, **three separate entitlements** can arise, and candidates merge them.

- 1 **EPF** - the **accumulated balance**, paid to the nominee or family. **His own money**
- 2 **EPS 1995** - a **monthly widow's pension**, plus **children's pension**. **A recurring payment for life**
- 3 **EDLI 1976** - a **one-time lump sum assurance**. **Insurance money, not his own**

The discriminator: **EPF is a balance, EPS is a stream, EDLI is a lump sum on top**. A question offering "the accumulated balance" as the EDLI benefit is wrong, and so is one describing EDLI as monthly.

CHECK YOURSELF · SESSION 4

- 1 List the seven kinds of pension with who receives each
- 2 Which pension does not require 10 years' service, and why?
- 3 Give the children's and orphan's rates, and explain why they differ
- 4 Is the children's pension paid out of the widow's or in addition to it?
- 5 Who funds EDLI, at what rate, and what does a member who survives to retirement receive from it?
- 6 How is the EDLI assurance computed, and which parts of that answer are CONFIRM?
- 7 Distinguish the three benefits payable on death in service

5. Session 5 - The Higher-Pension Question, and 2026 ★★★★★

The largest live controversy in your organisation. You should be able to explain it in two minutes without taking a side.

WHY THIS EXISTS · WHERE THE DISPUTE COMES FROM - THE ARITHMETIC, NOT THE LAW

Return to the formula and the ceiling, and the dispute explains itself.

Pensionable salary is capped at **Rs 15,000**. So a member who earned **Rs 1,00,000** a month for thirty-five years receives the **same Rs 7,500 pension** as a member who earned Rs 15,000 - because both are computed on Rs 15,000.

Some employers and employees had, however, contributed on FULL SALARY rather than on the capped wage. Their argument is straightforward: **if contributions were remitted on the actual salary, the pension should be computed on the actual salary.** Otherwise the extra money went in and produced no extra benefit.

The counter-argument is equally straightforward and is actuarial: the Scheme's 8.33 per cent plus the Government's 1.16 per cent were **never designed or funded** to support pensions on uncapped salaries, and paying them would transfer value from the general body of members to a small group of high earners, worsening a fund whose actuarial position is already contested.

So this is not a dispute about what the words mean. It is a dispute about who bears the cost of a promise the fund may not be able to fund - which is exactly the vulnerability F3.1 identified in every **defined-benefit** scheme, and the reason DB and DC had to be distinguished so carefully.

IMPORTANT · THE POSITION AS IT STANDS - REPORTED, AND UNSETTLED

- 1 Following the Supreme Court's judgment of **November 2022**, a window was opened for eligible members to opt for a higher pension
- 2 **The window is NOT currently open.** EPFO has stated that there are **no plans to re-open** it, and the new pension rules **reportedly omit** the enabling clause
- 3 The **Madras High Court, Madurai bench, reported 9 July 2026, reaffirmed the entitlement of exempted establishments** - that is, establishments running their own approved trusts under **s.17**
- 4 **Litigation continues.** There is no settled final position to state

How to handle this, in the paper and in the interview. Say what is verified - **the 2022 judgment, the window having closed, EPFO's stated position, and the Madras High Court development as reported** - and then say that **the matter is in litigation.** Do **not** assert an outcome.

And notice what the Madras development actually decides, because it is a good discriminating point: **s.17 status changes WHO HOLDS the money, not WHAT THE MEMBER IS ENTITLED TO.** An exempted establishment's employees are members of the pension scheme like anybody else; exemption concerns the provident fund trust. **That is why a court can reaffirm their entitlement without disturbing the general position.**

MUST MASTER · THE REPORTED 2026 CHANGES ACROSS ALL THREE SCHEMES

Item	HISTORIC	REPORTED 2026
Scheme framework	EPF Scheme 1952	An EPF Scheme 2026 reportedly replaces it. 12% and Rs 15,000 retained , but the ceiling is worded " as notified by the Central Government " - revisable without amending the Scheme . The parent Act remains the 1952 Act
Pension ceiling	Rs 15,000	Rs 15,000 to Rs 25,000 is UNDER CONSIDERATION ONLY, not decided
Withdrawal on unemployment	2 months , no minimum balance	12 months , with 25% of the balance retained
Higher pension	Window opened after the 2022 judgment	Not open . New rules reportedly omit the clause; Madras HC Madurai, reported 9 July 2026 , reaffirmed exempted establishments' entitlement; litigation continues

The one line that does not change in any version: the contribution is 12 per cent and the ceiling is Rs 15,000. What changed is **how the ceiling is fixed** - moving it from the text of the Scheme to a notification - **not the ceiling itself**. A question asserting the ceiling has risen to Rs 25,000 is **wrong**.

ACTION · WHERE THIS LEAVES YOU, AND WHAT F3.4 DOES

You can now answer a member's questions. Test yourself: **his 12 per cent and the employer's 3.67 per cent build a balance earning 8.25 per cent; the employer's 8.33 per cent and the Government's 1.16 per cent buy a pension worth pensionable salary times service over 70, vesting at 10 years, from 58, minimum Rs 1,000; the employer's 0.50 per cent buys an assurance payable only if he dies in service; he may take advances for housing after 5 years, illness at any time, marriage and education after 7, and 90 per cent at 54; and nobody can attach any of it.**

Next: Chapter F3.4 - EPFO's organisation and the APFC role, containing a FULLY WORKED SECTION 7A INQUIRY from the notice to the appealable order, built on the six-step domestic-inquiry template from F2.4, and including two worked **defective** orders which show that hearing the employer is necessary but not sufficient - **you must show your working**.

6. Graded Practice - 44 Questions ★★★★★

6.1 Level 1 - Recognition

Q. 1. The Employees' Pension Scheme was framed in

(a) 1971 (b) 1976 (c) 1995 (d) 2014

Q. 2. The Employees' Deposit Linked Insurance Scheme was framed in

(a) 1952 (b) 1971 (c) 1976 (d) 1995

Q. 3. EPS 1995 superseded the

(a) Employees' Provident Fund Scheme 1952 (b) Family Pension Scheme 1971 (c) EDLI Scheme 1976 (d) Coal Mines Provident Fund Scheme

Q. 4. EDLI is funded by

(a) the employee alone (b) the employer alone (c) employee and employer equally (d) the Central Government

Q. 5. The rate of contribution to EDLI is

(a) 0.25% (b) 0.50% (c) 1.16% (d) 3.67%

Q. 6. The eligible service required for a superannuation pension under EPS is

(a) 5 years (b) 7 years (c) 10 years (d) 15 years

Q. 7. The divisor in the EPS pension formula is

(a) 60 (b) 65 (c) 70 (d) 75

Q. 8. The minimum monthly pension under EPS, introduced with effect from 1 September 2014, is

(a) Rs 500 (b) Rs 1,000 (c) Rs 2,000 (d) Rs 3,000

Q. 9. The superannuation age under the Act is

(a) 55 (b) 58 (c) 60 (d) 62

Q. 10. An early pension under EPS may be taken from the age of

(a) 45 (b) 50 (c) 55 (d) 57

Q. 11. The children's pension under EPS is payable at

(a) 25% of the widow's pension (b) 50% of the widow's pension (c) 75% of the widow's pension (d) 100% of the widow's pension

Q. 12. The orphan's pension is payable at

(a) 25% of the widow's pension (b) 50% of the widow's pension (c) 75% of the widow's pension (d) 100% of the widow's pension

Q. 13. The children's pension is payable to a maximum of

(a) one child (b) two children at a time (c) three children (d) all children

Q. 14. The advance for illness is provided by Paragraph

(a) 68B (b) 68H (c) 68J (d) 68K

Q. 15. The advance for housing is provided by Paragraph

(a) 68B (b) 68J (c) 68K (d) 68NN

Q. 16. The qualifying membership for an advance for marriage or post-matriculation education is

(a) 3 years (b) 5 years (c) 7 years (d) 10 years

Q. 17. Withdrawal of 90 per cent of the accumulation is permitted on attaining the age of

(a) 50 (b) 54 (c) 56 (d) 58

Q. 18. The rate of interest on provident fund accumulations for FY 2025-26 is

(a) 7.10% (b) 8.15% (c) 8.25% (d) 8.50%

6.2 Level 2 - Understanding

Q. 19. The reason one Act needs three schemes is that

(a) three Ministries are involved (b) old age, longevity and death in service are risks of different shapes needing different financial instruments (c) the Constitution requires it (d) each State has its own scheme

Q. 20. The employee's contribution of 12 per cent is credited

(a) partly to the pension and partly to the provident fund (b) entirely to the provident fund (c) entirely to the pension (d) partly to EDLI

Q. 21. The Central Government contributes to

(a) the provident fund only (b) the pension scheme only, at 1.16% (c) EDLI only (d) all three schemes

Q. 22. A member with 8 years of eligible service who leaves employment is entitled to

(a) a monthly pension computed on the formula (b) a withdrawal benefit or a scheme certificate, but no pension (c) a pension at a reduced rate (d) nothing at all

Q. 23. The purpose of a scheme certificate is to

(a) certify the employer's compliance (b) preserve past service so that it may be added to future service with another covered employer (c) exempt the establishment (d) authorise an advance

Q. 24. The Universal Account Number matters chiefly because it

(a) reduces paperwork (b) makes the accumulation portable, which is what makes the ten-year vesting period achievable in a mobile labour market (c) fixes the interest rate (d) replaces nomination

Q. 25. A member who has a family may nominate

(a) any person he chooses (b) only a member of his family (c) only his spouse (d) only a person approved by the employer

Q. 26. The disablement pension under EPS is significant because it is payable

(a) only after 20 years' service (b) irrespective of the 10-year eligible service condition (c) only to members above 50 (d) as a lump sum

Q. 27. The advance under Paragraph 68J for illness requires

(a) 5 years' membership (b) 7 years' membership (c) no minimum service (d) 10 years' membership

Q. 28. The advance for marriage under Paragraph 68K is limited to 50 per cent of

(a) the total accumulation (b) the member's own share of contributions with interest (c) the employer's share (d) twelve months' wages

Q. 29. A member who survives to retirement receives from EDLI

(a) a lump sum equal to 35 months' wages (b) a monthly pension (c) nothing, EDLI being term insurance payable only on death in service (d) a refund of the 0.50% contributions

Q. 30. On the death of a member in service, which combination is correct?

(a) EPF balance, EPS monthly pension and EDLI lump sum (b) EPF balance and EDLI monthly pension (c) EPS lump sum and EDLI pension (d) EPF balance only

Q. 31. Pensionable salary is the average monthly wage over the

(a) last 12 months (b) last 60 months (c) whole of pensionable service (d) best 12 months of the last 5 years

Q. 32. The change in the averaging period made in 2014 disadvantages

(a) members whose wages fell towards the end of service (b) members whose wages rose towards the end of service (c) all members equally (d) only members above the ceiling

Q. 33. An advance is not a loan because

(a) it must be repaid within five years (b) no interest is charged and no repayment is required, the money being the member's own (c) it is granted by the employer (d) it is limited to Rs 15,000

6.3 Level 3 - Recruitment Test standard**Q. 34. A member's pensionable salary is Rs 15,000 and his actual pensionable service is 24 years. His monthly pension is approximately**

(a) Rs 5,143 (b) Rs 5,571 (c) Rs 6,000 (d) Rs 7,500

Q. 35. A member's pensionable salary is Rs 15,000 and his actual pensionable service is 12 years. His monthly pension is approximately

(a) Rs 2,571 (b) Rs 3,000 (c) Rs 2,143 (d) Rs 1,000

Q. 36. A member has a pensionable salary of Rs 15,000 and 8 years of eligible service. His monthly pension is

(a) Rs 1,714 (b) Rs 1,000, being the minimum pension (c) nil, because he has not completed 10 years' eligible service (d) Rs 2,000

Q. 37. A widow receives a pension of Rs 4,000 a month and has two children below 25. The total monthly family entitlement is

(a) Rs 4,000 (b) Rs 5,000 (c) Rs 6,000 (d) Rs 7,000

Q. 38. Match List-I with List-II and select the correct answer using the code below:

List-I (Paragraph)	List-II (Purpose)
A. 68B	1. Illness
B. 68J	2. Marriage and education
C. 68K	3. Housing
D. 68NN	4. Withdrawal before retirement

(a) A-3 B-1 C-2 D-4 (b) A-1 B-3 C-2 D-4 (c) A-3 B-2 C-1 D-4 (d) A-3 B-1 C-4 D-2

Q. 39. Consider the following statements:

- 1 The Employees' Provident Fund is defined contribution and cannot be actuarially underfunded.
- 2 The Employees' Pension Scheme 1995 is defined benefit and can be.
- 3 The employee contributes 1.16 per cent towards his pension.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 40. Which one of the following statements is not correct?

(a) EDLI is funded by the employer alone at 0.50 per cent (b) EDLI pays a lump sum on death in service (c) EDLI pays a monthly pension to the widow (d) An establishment may be exempted from EDLI where it provides not less favourable benefits

Q. 41. The essential reason the higher-pension dispute exists is that

(a) the formula is ambiguous (b) some members contributed on full salary while the pension is computed on a capped pensionable salary, and the fund was never actuarially designed to pay uncapped pensions (c) the Scheme was not notified (d) the Central Government withdrew its 1.16 per cent

Q. 42. Consider the following statements about the reported 2026 position:

- 1 The reported EPF Scheme 2026 retains 12 per cent and Rs 15,000 but words the ceiling as "as notified by the Central Government".
- 2 The pension ceiling has been raised to Rs 25,000.
- 3 The higher-pension window is not currently open.

Which of the above statements are correct?

(a) 1 and 2 only (b) 1 and 3 only (c) 2 and 3 only (d) 1, 2 and 3

Q. 43. The correct significance of the reported Madras High Court decision of 9 July 2026 is that

(a) it re-opened the higher-pension window for all members (b) it reaffirmed the entitlement of exempted establishments, exemption concerning who holds the money rather than what the member is entitled to (c) it abolished the wage ceiling (d) it transferred jurisdiction to the CGIT

Q. 44. In computing an EPS pension the correct order of operations is

(a) apply the formula, then check eligibility, then add the bonus (b) check the 10-year eligibility gate, then add the 2-year bonus if service is 20 years or more, then divide by 70 (c) divide by 70, then add the bonus (d) add the bonus, then check eligibility only if the result is below the minimum pension

7. Answers and Explanations

7.1 Level 1

Q	Ans	Explanation
1	c	1995 , under s.6A
2	c	1976 , under s.6C
3	b	The Family Pension Scheme 1971
4	b	The employer alone - the only one of the three funded by a single party
5	b	0.50% , the same rate as administrative charges

Q	Ans	Explanation
6	c	10 years
7	c	70
8	b	Rs 1,000 from 1 September 2014
9	b	58 , under s.2(II)
10	b	50 , at a reduced rate
11	a	25% of the widow's pension, in addition to it
12	c	75% - higher, because no widow's pension runs alongside it
13	b	Two children at a time
14	c	68J
15	a	68B
16	c	7 years
17	b	54 , or within one year of actual retirement, whichever is later
18	c	8.25%

7.2 Level 2

Q	Ans	Explanation
19	b	Different risk shapes need different instruments - accumulation for a certain gradual risk, a pension for unknown duration, term insurance for a sudden rare catastrophe
20	b	Entirely to the provident fund. The employee funds neither his pension nor his life cover
21	b	The pension only, at 1.16%. Nothing to the provident fund or EDLI
22	b	A withdrawal benefit or a scheme certificate. Below 10 years there is no pension, so (a) and (c) are wrong; (d) is wrong because he is not left with nothing
23	b	It preserves past service for addition to future service - the device that stops the 10-year rule penalising job changes
24	b	Portability , which is what makes a 10-year vesting period attainable. Without it a member changing jobs every four years could never vest
25	b	Only a member of his family , because the fund exists to protect dependants. A nomination outside the family is invalid while a family exists
26	b	Irrespective of the 10-year condition - the most examinable exception in the Scheme, and the point at which EPS answers invalidity
27	c	No minimum service. Illness is the exception, because a medical emergency cannot wait for a qualifying period
28	b	The member's OWN share with interest - not the total accumulation, so the employer's 3.67% is excluded
29	c	Nothing. EDLI is term insurance payable only on death in service ; the premium of the many funds the assurance of the few
30	a	EPF balance + EPS monthly pension + EDLI lump sum. A balance, a stream and a lump sum
31	b	The last 60 months , changed from 12 in 2014
32	b	Members whose wages rose towards the end of service, because a longer averaging window pulls the average down

Q	Ans	Explanation
33	b	No interest, no repayment - it is the member's own money. What the Scheme controls is purpose, qualifying period and ceiling

7.3 Level 3

Q	Ans	Explanation
34	b	Service is 20 or more, so add 2 : $24 + 2 = 26$. $(15,000 \times 26) \div 70 = 3,90,000 \div 70 = \text{Rs } 5,571$. Option (a) Rs 5,143 is the un-bonused answer on 24 years - the intended trap
35	a	Service is below 20, so NO bonus : $(15,000 \times 12) \div 70 = 1,80,000 \div 70 = \text{Rs } 2,571$. Option (a) is correct; adding a bonus wrongly would give Rs 3,000, which is option (b)
36	c	Nil . Eligible service is below 10 years , so there is no pension at all - only a withdrawal benefit or scheme certificate. Rs 1,714 is what the formula would give, and applying it here is precisely the error being tested . The minimum pension of Rs 1,000 applies to those who qualify for a pension, not to those who do not
37	c	Rs 6,000 . Widow Rs 4,000, plus children's pension at 25% each in addition : 25% of 4,000 = Rs 1,000, twice = Rs 2,000. Total Rs 6,000 . Option (b) Rs 5,000 counts only one child; (a) treats the children's pension as payable out of the widow's
38	a	A-3 68B housing; B-1 68J illness; C-2 68K marriage and education; D-4 68NN pre-retirement withdrawal
39	a	1 and 2 only . Statement 3 is wrong twice over - 1.16% is the CENTRAL GOVERNMENT'S share , and the employee contributes nothing to the pension
40	c	(c) is false . EDLI pays a lump sum , never a monthly pension. The monthly widow's pension comes from EPS 1995 . The other three statements are correct
41	b	The dispute is actuarial, not interpretive - contributions on full salary against a pension computed on a capped pensionable salary, in a fund never designed to pay uncapped pensions
42	b	1 and 3 only . Statement 2 is wrong: Rs 25,000 is under consideration only, not decided . The ceiling remains Rs 15,000 ; what changed is how it is worded
43	b	It reaffirmed exempted establishments' entitlement . The useful discrimination is that s.17 exemption concerns WHO HOLDS the money, not WHAT THE MEMBER IS ENTITLED TO , which is why the entitlement could be reaffirmed without disturbing the general position. Litigation continues
44	b	Eligibility gate, then bonus, then divide . Computing before checking eligibility is what loses the mark on a sub-10-year member

8. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F3.3 - THE THREE SCHEMES

WHY THREE OLD AGE certain and gradual → **ACCUMULATION** → **EPF, DEFINED CONTRIBUTION** · **OUTLIVING SAVINGS**, unknown duration → **A PENSION FOR LIFE**, pooling longevity → **EPS 1995, DEFINED BENEFIT** · **DEATH IN SERVICE** sudden and rare → **TERM INSURANCE** → **EDLI 1976** · *a balance, plus a promise for life, plus a payout if he dies before either matures*

FUNDING MAP EPF = employee 12% (ALL of it) + employer 3.67% · **EPS** = employer 8.33% + **CENTRAL GOVERNMENT** 1.16% · **EDLI** = **EMPLOYER ALONE** 0.50% · admin 0.50% · ceiling Rs 15,000 · the **EMPLOYEE** funds only **ONE** of the three - nothing towards his own pension or life cover · the **GOVERNMENT** funds only the **PENSION** · **EDLI** is the only single-party scheme

EPF INTEREST 8.25% FY 2025-26, third consecutive year · **DECLARED annually** by the Central Government on the **CBT's** recommendation, **not guaranteed** - because DC · credited on the **monthly running balance**, compounded annually

NOMINATION Para 61 a member **WITH a family** may nominate **ONLY a family member** - otherwise **INVALID** · a member with **no family** may nominate anyone, but it becomes **invalid on acquiring a family** · *the fund exists to protect dependants*

UAN links all member IDs, makes the accumulation **PORTABLE** · **portability is what makes the 10-YEAR VESTING achievable in a mobile labour market** · do not confuse with the **e-Shram UAN**

FULL WITHDRAWAL 58 · permanent and total incapacity · **migration abroad** · voluntary retirement · death · unemployment · **reaching 58 makes it PAYABLE**, it does not **COMPEL** withdrawal · **UNEMPLOYMENT WITHDRAWAL 2 MONTHS** historic, no minimum → **12 MONTHS** reported, with **25% RETAINED** · *rationale: stop a retirement fund becoming a short-term buffer; counter-argument: the worker needs money now, not in a year* · **liquidity now against security later is the central design problem of every provident fund**

ADVANCES - NOT LOANS no interest, no repayment; the Scheme controls **purpose, qualifying period and ceiling** · **68B HOUSING, 5 YEARS**, the largest advance · **68H lockout >15 days or wages unpaid >2 months** · **68J ILLNESS, NO MINIMUM SERVICE, 6 months' basic+DA OR own share, WHICHEVER IS LESS** · **68K MARRIAGE and POST-MATRICULATION EDUCATION, 7 YEARS, 50% of the member's OWN SHARE** · **68L natural calamity** · **68NN 90% AT AGE 54** or within one year of retirement, whichever is later · *68J has no qualifying period because an emergency cannot wait - the exception proves the Scheme follows need*

EPS 1995 s.6A, superseded the **FAMILY PENSION SCHEME 1971** · membership **automatic** · **10 YEARS eligible service** to vest; below that a **WITHDRAWAL BENEFIT** or a **SCHEME CERTIFICATE** (preserves past service for addition to future service) · **superannuation 58** · **EARLY PENSION FROM 50, REDUCED** (factor commonly cited as 4% a year, **CONFIRM**) · **deferred beyond 58, enhanced** · **MINIMUM PENSION Rs 1,000 from 1 SEPTEMBER 2014**

THE FORMULA PENSION = (PENSIONABLE SALARY × PENSIONABLE SERVICE) ÷ 70 · **pensionable salary = average over the last 60 MONTHS** (was **12** before **2014** - the longer window **disadvantages** those whose wages **ROSE** late), capped at **Rs 15,000** · **+2 YEARS** where pensionable service is **20 OR MORE**, added **INSIDE** the bracket · **35 ÷ 70 = one half**, so **Rs 15,000 × 35 ÷ 70 = Rs 7,500 = the MAXIMUM ordinary pension at the cap** · **WORKED 35 yrs → Rs 7,500** · **24 actual → +2 = 26 → Rs 5,571** (un-bonused Rs 5,143 is the trap) · **12 yrs → no bonus → Rs 2,571** · **8 yrs → NIL, no pension at all** · **ORDER OF OPERATIONS: 10-YEAR GATE FIRST, THEN THE BONUS, THEN DIVIDE BY 70**

KINDS OF PENSION superannuation 58 · early 50, reduced · **DISABLEMENT - permanently and totally unfit, PAYABLE IRRESPECTIVE OF THE 10-YEAR RULE**, and this is where EPS answers **INVALIDITY** · **widow/widower for life or until remarriage, minimum Rs 1,000** · **CHILDREN 25% of the widow's pension EACH, up to 2 at a time, up to age 25, IN ADDITION to hers** · **ORPHAN 75% each, up to 2** · nominee where no family · **25 SUPPLEMENTS, 75 SUBSTITUTES**

EDLI 1976 s.6C · employer alone at 0.50% · TERM INSURANCE - pays ONLY on death in service; a member who survives to retirement gets NOTHING · answers SURVIVORS' · exemptible under s.17 on not-less-favourable benefits · computed on average monthly wages of the last 12 months by a prescribed multiple plus a bonus element, subject to a maximum and a minimum · commonly cited 35 times wages, maximum Rs 7,00,000, minimum Rs 2,50,000 - REPORTED, marked CONFIRM · the SAFE answer is the 0.50% rate, employer-only funding, and death-in-service only

THREE DEATH BENEFITS - DO NOT MERGE EPF = the BALANCE (his own money) · EPS = a monthly STREAM (widow + children) · EDLI = a one-time LUMP SUM (insurance money)

HIGHER PENSION the cap means a member on Rs 1,00,000 gets the same Rs 7,500 as one on Rs 15,000 · those who contributed on **full salary** argue the pension should follow · the counter is **actuarial** - $8.33 + 1.16$ was never funded for uncapped pensions · **so it is a dispute about who bears the cost of a DB promise, exactly the DB vulnerability from F3.1 · window NOT OPEN; EPFO says no plans to re-open; new rules reportedly omit the clause; Madras HC Madurai, reported 9 July 2026, reaffirmed EXEMPTED ESTABLISHMENTS · s.17 changes WHO HOLDS the money, not WHAT IS OWED · litigation continues - assert no outcome**

REPORTED 2026 EPF Scheme 2026 replaces the 1952 framework; **12% and Rs 15,000 RETAINED**, ceiling worded "as notified by the Central Government"; **PARENT ACT STILL 1952 · pension ceiling Rs 25,000 UNDER CONSIDERATION ONLY · the ceiling has NOT risen - only the manner of fixing it changed**

9. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F3.3 - THE THREE SCHEMES

EPF = DC accumulation · EPS 1995 = DB pension · EDLI 1976 = term insurance

EPF: employee 12% ALL + employer 3.67% · EPS: employer 8.33% + CG 1.16% · EDLI: EMPLOYER ALONE 0.50%

EMPLOYEE FUNDS ONLY THE PF · GOVERNMENT FUNDS ONLY THE PENSION

INTEREST 8.25% FY 2025-26 · DECLARED by CG on CBT recommendation · ceiling Rs 15,000

NOMINATION: with a family, ONLY a family member — else INVALID

UAN = PORTABILITY = what makes 10-YEAR VESTING reachable

FULL WITHDRAWAL: 58 · incapacity · migration · VRS · death · unemployment

UNEMPLOYMENT: 2 MONTHS historic → 12 MONTHS reported + 25% RETAINED

68B HOUSING 5 yrs · 68J ILLNESS NO MINIMUM · 68K MARRIAGE/EDUCATION 7 yrs, 50% OF OWN SHARE · 68NN 90% AT 54

EPS: s.6A · superseded FPS 1971 · VEST AT 10 YRS · 58 · EARLY FROM 50 REDUCED · MINIMUM Rs 1,000 (1 Sep 2014)

PENSION = (PENSIONABLE SALARY × PENSIONABLE SERVICE) ÷ 70

pensionable salary = LAST 60 MONTHS (was 12, changed 2014) · +2 YRS IF SERVICE ≥ 20 35 yrs → Rs 7,500 (the MAXIMUM) · 24 → Rs 5,571 · 12 → Rs 2,571 · 8 → NIL

ORDER: 10-YEAR GATE → +2 BONUS → DIVIDE BY 70

DISABLEMENT PENSION IGNORES THE 10-YEAR RULE

CHILDREN 25% EACH (max 2, to age 25) IN ADDITION · ORPHAN 75% EACH

EDLI pays ONLY on DEATH IN SERVICE · survive to retirement and you get NOTHING

EDLI max Rs 7,00,000 / min Rs 2,50,000 — REPORTED, CONFIRM · the SAFE fact is 0.50%, employer only

ON DEATH: EPF BALANCE + EPS STREAM + EDLI LUMP SUM

HIGHER PENSION: NOT OPEN · Madras HC Madurai 9 Jul 2026 reaffirmed EXEMPTED

ESTABLISHMENTS · LITIGATION CONTINUES

2026: ceiling worded "as notified" · STILL Rs 15,000 · Rs 25,000 UNDER CONSIDERATION ONLY · PARENT ACT STILL 1952